

The Dynamic Iron and Steel Company Ltd. (DISCO) (See Tables 10.3 and 10.4) also had a cash flow deficit although the company made a cash profit of Rs. 429.44 crore. If one assumes this was used to finance the increase in inventories and partially finance assets, the dividend of Rs. 80.55 lakh was once again financed by loans.

Table 10.4

Dynamic Iron and Steel Company Limited

Sources and Uses of funds for the Latest Year ended 31 March

	(Rs. crore)
<i>Sources</i>	
Operating Net Income	278.16
Less payments to employees for prior periods	(13.61)
	264.55
Add: Depreciation	164.89
Funds from Operations	429.44
Sale of Investments	323.09
Decrease in other current assets	0.06
Increase in liabilities	78.34
Increase in provisions	73.20
Total Sources	904.13
<i>Uses</i>	
Net purchases of fixed assets	1329.29
Increase in inventories	221.20
Increase in sundry debtors	24.77
Increase in loans and advances	156.59
Total applications	1731.85
Excess (deficit)	827.72
<i>Financed by</i>	
Issue of shares	1.37
Increases in loans	867.55
Increases in cash and bank balances	(41.20)